

When is a top not a top? When it is a rounding top and price breaks out upward 58% of the time in bull markets.

The Results Snapshot shows the performance results that range from second and third to (almost) worst. In bull markets, rounding tops place second with average gains of 55%. Contrast that with bear markets where the average rise is 23% and performance ranks almost last: 19 out of 20 (where 1 is best).

I was wondering if I was dreaming these results. How can they be so good and so bad? Maybe the answer is low sample counts, so I scanned more data and doubled the number of samples. The results changed but only by tiny amounts (which is reassuring, really).

Because these patterns are often tall, the measure rule (“percentage meeting price target”) suffers, with the best result coming in at 58% and the worst at 12%. That's using the pattern's full height to predict a target. I'll talk about the measure rule later in Trading Tactics.

Let's take a tour of the pattern.

Tour

[Figure 56.1](#) shows an example of a rounding turn on the daily scale. Notice how the starting (A) and ending (B) points are nearly the same price. This characteristic differentiates the pattern from an inverted scallop, either ascending or descending. A single bump also separates it from a complex head-and-shoulders top, although I did not remove any rounding turns that were part of a head-and-shoulders pattern.

In this example, the turn is gentle but still has irregular price moves poking through (points C and D). Volume trends upward in this case, and that is unusual for rounding turns (but the volume trend is close to random anyway).